

IT6506 e-Business Technologies — Complete Exam Study Guide

Exam format: 2-hour paper · **4 structured questions** · case-study driven. **How marks are won:** most questions give you a company scenario and ask you to *analyse* it and *recommend* strategies/models. Definitions alone score low — you must **apply** theory to the case. This guide gives you the theory **plus** the reasoning and worked examples so you can do that.

HOW TO USE THIS GUIDE (read first)

The whole course is really **one connected story**:

A business faces **forces & pressures** (Porter's 5 Forces, driving forces for change) → it studies itself with **SWOT** → it picks **business strategies** to survive those forces → it implements those strategies through **eBusiness models** → it rolls the whole change out using the **7 E's eTransformation** method, managing people-change with the **7S model**.

If you understand that chain, you can answer almost any case-study question. Everything below hangs off it.

Priority for tonight:

Priority	Topic	Appears as
★★★ Must know	Porter's 5 Forces → Strategies → eBusiness Models	Annex A & B, most likely Q1
★★★ Must know	7 E's eTransformation + 7S model	Annex C (Chocos)
★★★ Must know	SWOT analysis (how to actually build one)	Annex A (BabyLove)
★★ Important	The 6 eBusiness models — definition + <i>when</i> to use	Q on models
★★ Important	eBusiness classification, CRM lifecycle, SCM push/pull	Definition/short-answer parts
★ Supporting	Digital marketing theories, case studies, entrepreneurship	Fill-in questions

TOPIC 1 — Introduction to eBusiness & eCommerce

The core idea

eBusiness (electronic business) = running *business processes and transactions* using electronic/digital means (internet, computer networks, mobile). It covers **marketing, buying, selling, delivering, servicing, paying** for products/services/information, **plus** managing the supply chain.

Key distinction (exam favourite):

- **eCommerce** = the *buying and selling* part only (transactions).
- **eBusiness** = the *whole* organisation online — eCommerce **plus** internal processes (HR, production, payroll), supplier links, CRM, SCM, knowledge management.
- Memory hook: *eCommerce is a subset of eBusiness*. Every eCommerce site is eBusiness, but eBusiness is bigger.

Why businesses go electronic (the 6 benefits — explain each)

1. **Global Reach** — no geographic limit; a small Sri Lankan seller reaches worldwide buyers.

2. **Cost-Effective** — no physical storefront → lower rent/overhead; big win for SMEs.
3. **Increased Efficiency** — automate inventory, order processing, payments → faster, fewer errors, less manual labour.
4. **Improved Customer Service** — online chat, email, social media → faster help → loyalty.
5. **Data Analytics** — capture buying behaviour → improve marketing & products.
6. **Competitive Advantage** — early digital adopters stay ahead of traditional rivals.

Disadvantages (the trade-offs)

- **Security risks** — data breaches, hacking, identity theft (need strong security investment).
- **Infrastructure needs** — reliable fast internet, hardware, software.
- **Technical issues** — downtime, outages, bugs → lost revenue.
- **Technology dependence** — you *must* understand the tech to run it.
- **Lack of personal interaction** — harder to build human trust with customers/partners.
- **More competition** — low barrier to entry means rivals flood in, pushing prices down.

Classification of eBusiness (know one clear example each)

Type	Meaning	Example
B2C	Business → Consumer	Amazon selling to shoppers
B2B	Business → Business	Supplier selling raw materials to a factory
C2C	Consumer → Consumer	eBay (individuals sell to individuals)
B2G	Business → Government	Company selling via a govt procurement portal
C2B	Consumer → Business	Freelancer selling services on Fiverr
G2B / G2C / G2G	Government to Business/Citizen/Government	Tax portals, e-services

Exam tip: if asked to classify a scenario, state **who initiates the sale** and **who receives**. "A citizen paying tax online" = C2G; "govt issuing a tender to firms" = G2B.

The eBusiness Environment (used again in Topics 2, 4, 7)

Think of the company as sitting inside two rings:

- **Internal environment (things you control — the 7S factors):** Employees, Board of Directors, Shareholders, **Systems, Structure, Strategies, Shared values, Staff, Skills, Style**.
- **External environment (things you react to):** Customers, Markets, Government, Suppliers, Special-Interest Groups, Media, Labour Unions, Competitors, Financial Institutions.

Why it matters: **SWOT** comes straight from here — *Strengths/Weaknesses* = *internal*, *Opportunities/Threats* = *external*.

Customer interaction cycle (marketing funnel)

Awareness → Consideration → Conversion → Retention → Advocacy.

- *Awareness:* customer just learning you exist.
- *Consideration:* comparing you vs alternatives.
- *Conversion:* the actual purchase.
- *Retention:* keep them happy so they return.
- *Advocacy:* happy customers refer others (free marketing).

Background context (only if asked "evolution of business eras")

Agricultural → Industrial → Information age. Industrial society = **Standardisation, Specialisation, Synchronisation, Concentration, Maximisation, Centralisation**. Key thinkers: **Adam Smith** (division of labour), **Henry Ford** (assembly line — "brought work to the worker"), **Alfred Sloan** (management structures).

TOPIC 2 — Evolution of eMarketplaces ★★★ (Porter's Five Forces is HERE)

eMarketplaces

An **eMarketplace** = a digital platform connecting buyers and sellers.

- **Horizontal** = wide range of products (Amazon, eBay).
- **Vertical** = one niche (Airbnb for lodging, Etsy for handmade).
- **Intermediary** type takes a commission per sale; **direct** type just connects (Alibaba).

Evolution stages: Early marketplaces (eBay/Amazon, mid-1990s) → Expansion into niches (Etsy, Daraz) → Mobile-first (Uber, PickMe) → B2B marketplaces (Alibaba) → Platformization (Amazon adds streaming/cloud) → Blockchain/decentralized (OpenBazaar).

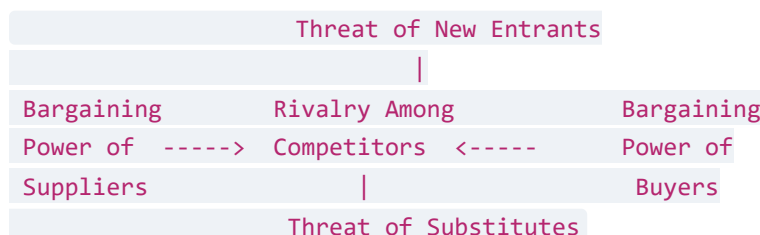
Sri Lankan examples: Daraz, Kapruka, MyDeal.lk, Wow.lk, Takas.lk, ikman.lk (classifieds).

Traditional vs New business models (why the internet changed everything)

Aspect	Traditional	New (online)
Production	Mass (same for all)	Personalised (DELL builds to order)
Distribution	Through middlemen	Direct (sell straight to customer)
Communication	Chained / closed	Networked / open
Finance	Slow / difficult	Faster / easier (24/7)
Markets	Local / geographical	Global / no boundaries
Assets	Tangible / physical	Intangible / virtual

★ Michael Porter's Five Forces — the single most important framework

Porter's model analyses **how attractive/competitive an industry is** by looking at 5 pressures on a company. High forces = tough industry = low profit. The whole point of strategy is to **reduce the strong forces**.



Force 1 — Bargaining Power of SUPPLIERS

Suppliers can squeeze you (raise prices, cut quality) when:

- Only a **few suppliers** exist.

- Inputs are **unique / costly to switch**.
- Your purchase is a **small fraction** of their business (they don't need you).
- Suppliers **could sell direct** to your customers (forward integration threat).
- Hard for you to switch suppliers.

How to REDUCE supplier power:

- Just-In-Time (JIT) deliveries to cut inventory cost.
- Use info about customer needs to add value.
- Adopt new technology fast.
- Form a **buying group** (small buyers combine into one big-volume customer).
- **Backward integration** — buy your supplier or make inputs yourself.

Force 2 — Bargaining Power of BUYERS

Buyers squeeze you (demand lower prices) when:

- They're **large** and buy much of your output.
- Many small buyers **act as a group**.
- Product is a **big expense** for them.
- They can **evaluate market info** (compare easily).
- Your product is **not unique** — available elsewhere.
- **Low switching cost** for them.

How to REDUCE buyer power:

- Loyalty programs / partnerships (lock them in).
- Sell **directly** to consumers.
- Add features / branding (raise perceived value).
- Target less-informed customers.

Force 3 — Threat of NEW ENTRANTS

New competitors flood in when:

- No **patents/regulations** protecting the market.
- **Low brand loyalty** among customers.
- **Low start-up & switching costs**.
- Products not unique; easy to learn production; easy access to inputs & customers.
- **Minimal economies of scale**.

How to REDUCE new-entrant threat:

- Strengthen **barriers to entry**: strong brand, patents, alliances with related products, signal you'll retaliate, set entry-deterring prices.

Force 4 — Threat of SUBSTITUTES

A *substitute* is a different product solving the same need (e.g., video call substitutes for airline travel). Threat high when:

- Your product offers **no real benefit** over the substitute.
- Easy for customers to switch.
- Low customer loyalty.

How to REDUCE substitute threat:

- Stay close to customer preferences.
- Differentiate by branding.

- Collective industry advertising.
- Value-added products; take product to a new market.

Force 5 — RIVALRY Among Existing Competitors

Rivalry is fiercest when:

- Firms fighting to be **market leader**.
- Market **slow-growing or shrinking**.
- **High fixed costs** (must sell to cover them).
- **Perishable** products (sell fast or lose).
- Products **undifferentiated** (commodities).
- Easy switching; **high exit costs**.

How to REDUCE rivalry:

- Innovate / improve features (differentiate).
- Focus on a **niche** segment.
- Novel distribution channel.
- Build relationships & customer loyalty.

★★★ THE MASTER MAPPING TABLE — Force → Strategy

This table answers most case questions. Learn it. When a case says "supplier power is high," you look up the row and recommend those strategies.

High Force	Business Strategies to counter it
Threat of New Entrants	Product Differentiation · Product Bundling · CRM · Strategic Alliances · Cost Leadership → <i>strengthen barriers to entry</i>
Rivalry among Existing Firms	Value-Added Differentiation · Strategic Alliances · Product Bundling · Horizontal Integration · Marketing · Price discrimination · Pricing strategies · Niche targeting · CRM · Expand Product Line
Threat of Substitutes	Product Diversification · Market Diversification · Product Bundling · Strategic Alliances · Pricing strategies
Bargaining Power of Suppliers	Product Differentiation · Backward Integration · Supply Chain Mgmt (SCM) · Strategic Alliances · ePortal (bulk ordering)
Bargaining Power of Buyers	Value-Added Differentiation · Forward Integration · Marketing · Product Bundling · Product Development · Strategic Alliances · CRM · Cost Leadership · Pricing · Expand Product Line

Two integration directions to remember:

- **Backward integration** = move *up* toward suppliers (control your inputs) → beats **supplier** power.
- **Forward integration** = move *down* toward customers (control distribution/retail) → beats **buyer** power.

Business goal states (choose based on company health)

- **Survival** — company in deep trouble, *no choice* but to re-engineer.
- **Sustainability** — not in trouble yet but sees it coming → be **proactive**.
- **Growth** — ambitious, aggressive → re-engineer to *extend* the lead.

Technologies enabling new business models

Disruptive tech that rewrote the old rules: **Shared Databases** (info in many places at once), **Expert Systems** (generalists do expert tasks), **Telecom Networks** (centralise + decentralise), **Decision Support Tools** (everyone decides), **Wireless/Mobile** (field staff connected anywhere), **Internet/WWW** (effective contact beats personal contact).

Business Information Systems (know the acronyms): MIS (Management Info), ES (Expert System), TPS (Transaction Processing), ICS (Inventory Control), KM (Knowledge Management), Payroll, ESS (Executive Support), DSS (Decision Support), BI (Business Intelligence).

Value chain: Supplier → Distributor → Manufacturer → Reseller → Customer. Upstream side = **Supplier Management + SCM**; downstream side = **CRM + Big Data**.

Direct-to-customer interaction, Mass Customization, Virtual Organisation

Mass Customization = combine **mass production efficiency + personalization**. Customer picks options (colour/size/features); made from standard components. Enabled by CAD, 3D printing, automation.

- *Benefits:* higher satisfaction, higher revenue (premium price), lower inventory, faster time-to-market, less waste, differentiation.
- *Problems:* can't build stock ahead, forecasting is hard, surge-demand planning difficult, disrupts 3rd-party supply chains, longer wait times, costly varied machinery.

Virtual Organisation = a geographically dispersed network working together via technology (no shared physical office). Moves business **"from place to space."**

- *Benefits:* access wider talent pool, low overhead, flexibility, better collaboration, lower environmental impact.
 - *Concerns:* Trust, Security, Convenience (it's borderless, faceless, paperless — so trust is the challenge).
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TOPIC 3 — eBusiness Applications & Success Stories

These are **case studies** — exam may ask "why was X successful?" Answer with *specific reasons*, not generic praise.

Ride-hailing — Uber

Founded from a 2008 Paris idea (couldn't get a taxi); first ride 2010; Sri Lanka 2015. Two apps: **rider** app + **driver** app.

- **Value to passenger:** lower wait, lower price, ease of access, safety.
- **Value to driver:** flexible hours, extra income, choose rides, access a passenger pool.
- **Costs:** infrastructure, employee salaries. **Revenue:** ride commissions, surge pricing, premium rides.
- **Surge Pricing** = algorithm that **balances supply & demand**. When demand spikes, a *multiplier* raises the fare → fewer passengers (some wait), more drivers come out → gap closes. *Case proof:* Madison Square Garden concert (surge worked); NYE 2014 when surge **broke down** → too few drivers, completion rate crashed → proved surge is useful.
- **Why Uber succeeded:** solved unmet needs traditional taxis ignored — *request from anywhere, convenience, easy payment* — plus a **rating system** holding drivers accountable.

PickMe (Sri Lanka)

By Digital Mobility Solutions Lanka (dev 2014, launch 2015). **One app, many services:** Ride, Food, Market (groceries/pharma), Rental, Flash (parcels), Truck (heavy goods).

Online food ordering

- **UberEats** succeeded by **leveraging Uber's existing infrastructure** — street-routing software, loyal drivers, customer base — plus people pay for doorstep convenience.
- **PickMe Food** advantage: single app for both ride + food (vs Uber's two apps).

Online Education

Distance education delivered through technology. Boomed with COVID-19. Platforms: **Moodle, Zoom, MS Teams**.

- **Synchronous** (learn same time) vs **Asynchronous** (own pace).
- **SPOC** = Small Private Online Course (limited students, formal enrolment, may charge fee) vs **MOOC** = Massively Open Online Course (unlimited, open access, free — pay only for certificate).
- **Benefits:** flexible time/location, low cost, geographic flexibility, improves tech skills, saves commute time, wider program choice.
- **Issues:** needs high self-motivation & discipline, high dropout, isolation, more screen time, technical problems.
- **Moodle** = **M**odular **O**bject-**O**riented **D**ynamic **L**earning **E**nvironment. Free, open-source LMS by Martin Dougiamas (v1.0 Aug 2002). Activities: Assignment, Quiz, Forum, Database, Feedback, Lesson, SCORM, Survey, Wiki, Workshop.
- **Zoom success reasons:** lucky timing (COVID), **low data usage** (works on weak connections), ease of use, cost-effective.

Online Banking (Internet/Web banking)

Services: money transfer, online payments, open accounts, request loans, card payments.

- **Advantages:** 24/7 convenience, fast/instant (same-bank), easy to monitor (SMS alerts).
- **Disadvantages:** confusing for non-tech users, trust issues, **can't withdraw cash**, hacking/phishing risk, depends on device + internet.

TOPIC 4 — Development of eBusiness Strategies ★

Driving Forces for Change (WHY companies must transform)

Four categories — remember the grouping:

- **Technical forces:** Internet/WWW, communication explosion, tech advancement, information revolution, virtual connectivity, no geographic boundaries.
- **Business-driven forces:** buyer/supplier bargaining power, market changes, strong competition, adopting new strategies, diversifying into new products.
- **External forces:** government regulations, pressure from business partners & interest groups, economic conditions, social/cultural shifts, environmental concerns, globalization.
- **Internal forces:** new strategies, changes in processes/management/staff/structure/value systems, poor performance, leadership changes, employee feedback.

The E-Business Road Map ★ (a company's digital maturity ladder)

A firm climbs two ladders at once, then they converge:

External-facing ladder: Basic Website → Interactive Site → eCommerce Site. **Internal-facing ladder:** Effective Individual → Effective Team → Effective Organisation. → Both meet at **Convergence** → then unlock **New Processes (SCM, CRM, KM)**.

Stage	What it looks like
Basic Website	Own domain; static "brochureware"; e-catalogue, FAQs, mailing lists
Interactive Site	Two-way info; structured queries; forum/chat/feedback; database + scripting; needs web server + security
eCommerce Site	Secure server / payment gateway; back-end systems; intl security standards; business-continuity plan — Trust & Security are the big issues here
Effective Individual	Staff use standalone software (accounting, payroll, spreadsheets)
Effective Team	Networked apps, LAN, intranet, shared drives/DBs — teams collaborate
Effective Organisation	Everything networked; ERP, VPN, intranet; enterprise-wide integration; strict security
Convergence	All information integrated across every process + partners
New Processes	Now capable of SCM, CRM, Knowledge Management

Exam use: "Where is this company on the road map, and what's next?" → identify current stage, then name the next stage + what it needs.

The Four Disruptions (know one example each)

1. **Customer disruption** — customers' needs/expectations shift. *Examples:* streaming killed video rental; ride-share disrupted taxis; online shopping vs brick-and-mortar; mobile banking.
2. **Product disruption** — a new product makes the old obsolete. *Examples:* smartphones (replaced cameras/GPS/MP3), digital cameras (vs film), streaming media, EVs, 3D printing.
3. **Price disruption** — offered far below prevailing market price. *Examples:* low-cost airlines (Ryanair), generic drugs, Amazon, digital music, solar energy.
4. **Intelligent Agents** — autonomous software that senses + decides. **Types:** Reactive (react only), Proactive (anticipate), Learning (improve via ML), Intelligent software agents. *Examples:* chatbots (NLP), digital assistants (Siri/Alexa), autonomous robots, recommendation engines, fraud detection, self-driving cars.

DELL — the classic direct-to-customer example

Founded 1984 by Michael Dell with \$1,000. Model: **custom order online, payment received before shipping, no middleman, all service via web, customer tracks shipment, proactive not reactive.** This *bypasses distributors* → beats buyer power and cuts cost.

IT-driven shifts (nice one-liners for essays): Atoms → Bits · Place → Space · Brick → Click · Real → Virtual.

TOPIC 5 — eBusiness Models & Revenue Models ★★★

Revenue model = how you make money. **eBusiness model** = how the whole business is structured to create/deliver/capture value.

Common revenue models: E-commerce (sell goods) · Marketplace (commission) · Subscription (SaaS/streaming) · Freemium (free basic, pay for premium) · Advertising · Affiliate · P2P · Online Services · Crowdfunding · Digital Content.

The 6 eBusiness Models (definition + WHEN to use — critical for Annex B)

- 1. Direct-to-Customer (D2C)** Sell straight to consumers, bypassing retailers/wholesalers (DELL, Nike.com). *Benefits:* lower prices, build-to-order, early payment, faster release cycles, own the brand & customer data, control pricing, wider reach. *Use when:* **buyer power is high** or you want customer data & branding control.
- 2. Supply Chain Model** Digital tech (EDI, WMS, e-procurement) optimises the whole chain; information flows across all parties with strong back-end links. *Benefits:* supply-chain visibility, agility, efficiency, shorter lead times, supplier collaboration, better inventory/forecasting. *Use when:* **supplier power is high** or rivalry demands operational efficiency.
- 3. Full-Service Provider (FSP)** One-stop, end-to-end solution; a **single point of contact** covering the whole value chain (e.g., a travel site selling hotels + flights + car rental). Sells own products + third-party (earns commission/service fee). *Benefits:* simplified procurement, efficiency, cost savings, integration, deep expertise. *Use when:* **buyer power high** (customers value one-stop convenience → higher switching cost) or to fight rivalry.
- 4. Revenue Sharing Model** Multiple companies collaborate through an **eHub / ePortal**, market collectively, and split revenue by agreed terms. Shared risk & reward. *Benefits:* collective bulk orders → **bargaining power over suppliers**; reach larger market; work on bigger projects; economies of scale. *Use when:* **supplier power is high** and rivalry is *low* (competitors willing to cooperate). (← This is Annex B Q1.)
- 5. Digital Value Hub (eRegion)** A digital platform acting as the **central hub of an entire industry ecosystem** — competitors, suppliers, distributors collaborate on one platform. *Benefits:* strong B2B partnerships, competitor cooperation, a **united force against foreign competition**, data-driven insights. *Use when:* **rivalry is high** and/or **threat of new (foreign) entrants is high** — local players band together. (← Annex B Q2 & Q4.)
- 6. Global Trade Platform (for SMEs)** Online marketplace enabling small firms to trade across borders. *Features:* business matching, product listings, communication tools, trade facilitation (customs/logistics/payment), market intelligence, financial services, training. *Use when:* SMEs need global reach they can't achieve alone.
- Extended Enterprise** = extending the business beyond its own walls into a networked ecosystem of suppliers, customers, partners. Elements: Collaboration, Supply-Chain Integration, Customer Engagement, Technology Enablement, Risk Management, Value Co-creation. (*Boeing 7E7 built across many countries = extended enterprise.*)

★★★ FULL CHAIN: Force → Strategy → eBusiness Model

This is the complete Annex-B answer key. When a case gives you a dominant force, walk left-to-right.

Dominant Force	Business Strategy	→ eBusiness Model
Threat of New Entrants	Differentiation, Bundling, CRM, Alliances, Cost Leadership	D2C · Full-Service Provider · ePortal · eRegion
Rivalry among Firms	VA Differentiation, Alliances, Bundling, Horizontal Integ., CRM	Full-Service Provider · ePortal · Supply Chain · D2C
Threat of Substitutes	Product/Market Diversification, Bundling, Pricing	D2C · Full-Service Provider
Supplier Power	Backward Integration, SCM, Alliances, ePortal	ePortal · eRegion · Supply Chain Model
Buyer Power	Forward Integration, Marketing, CRM, Cost Leadership	ePortal · eRegion · D2C · Full-Service Provider · eAuctioneer

✎ WORKED EXAMPLE — Annex B "True/False + justify"

"When bargaining power of suppliers is high and rivalry among competitors is low, a company can use the revenue-sharing eBusiness model to lower supplier power." → **TRUE. Justify:** In a revenue-sharing model, several sellers combine through an ePortal/eHub. By **ordering together they place collective bulk orders**, which gives them **bargaining leverage over suppliers** (economies of scale). It works *because rivalry is low* — competitors are willing to cooperate on the shared portal. If rivalry were high they wouldn't collaborate. ✓

"When threat of new entrants is high and rivalry is high, existing firms could use the Digital Value Hub to lower competitiveness." → **TRUE. Justify:** A Digital Value Hub gets industry players to collaborate on one ecosystem platform, building trust relationships among competitors and forming **a united force against new/foreign entrants**, raising barriers to entry while sharing value internally. ✓

TOPIC 6 — Digital Marketing Strategies

Social media = media focused on participation + peer-to-peer communication + **user-generated content (UGC)**. **Social media marketing** = monitoring & facilitating customer-to-customer conversations to build positive engagement with your brand.

Site categories: Social Networks (FB, Twitter) · Streaming (YouTube, Twitch) · Search (Google) · Knowledge (Wikipedia, Reddit, Quora) · Blogging · Customer Service · Publishing · Bookmarking (Pinterest).

★ Social Influence Theory — Cialdini's 6 Principles of Persuasion

These explain *why people say "yes."* Learn the name + how marketers use it.

Principle	Meaning	Marketing use
1. Reciprocation	We feel obliged to return favours	Free samples, valuable content, personalization
2. Commitment & Consistency	We act consistent with past commitments	Opt-in subscriptions, quizzes, loyalty programs
3. Social Proof	We copy others when unsure	Testimonials, reviews, influencers, follower counts
4. Authority	We obey credible experts	Expert endorsements, industry partnerships, authoritative content
5. Liking	We say yes to people we like	Influencers, behind-the-scenes content, likeable ambassadors
6. Scarcity	Limited = more valuable (FOMO)	"Only 3 left", flash sales, countdown timers, pre-orders

Social Proof sub-types: expert, celebrity, user, wisdom-of-the-crowd. *Liking factors:* similarity, attractiveness, familiarity, compliments, cooperation. *Scarcity types:* quantity scarcity (limited stock) + time scarcity (limited-time offer).

Social Identity Theory

People split the world into **"us" (in-group)** vs **"them" (out-group)**. Three mental steps: **Social Categorization** → **Social Identification** → **Social Comparison**. *Marketing use:* build brand communities (belonging), show

social proof, align with shared values/causes.

Practical advertising (know the vocabulary)

Facebook ad targeting — 3 audience types:

- **Core** — target by demographics, behaviours, location.
- **Custom** — reconnect with people who already interacted with you.
- **Lookalike** — reach people *similar* to your best customers.

FB campaign objectives: Awareness · Traffic · Engagement · Leads · App Promotions · Sales. **A/B testing** = show two ad versions to different segments to see which performs better. **Budget types:** *Daily* (average per day; up to 25% over on good days, ≤7× over a week) vs *Lifetime* (fixed total over the whole campaign). **Meta Business Suite** = one place to manage both Facebook + Instagram.

Instagram: photo/video sharing, hashtags; switch personal → professional/business account. Ad types: image, story, video, carousel, collection, explore, shopping, reels. **Twitter Ads:** Promoted Ads (image/video/carousel/moment/text) · Follower Ads · Amplify (pre-roll/sponsorships) · Takeover (timeline/trend) · Live · Dynamic Product Ads (retargeting/prospecting) · Collection Ads.

TOPIC 7 — eBusiness Transformation: The 7 E's ★★★

BPR vs eTransformation (common compare question)

	BPR (Business Process Reengineering)	eTransformation
Scope	Radical redesign of <i>processes</i>	Broad — digital tech across the <i>whole</i> organisation
Approach	"Clean slate" — redesign from scratch	Iterative — build on existing systems
Role of tech	Enabler (supports redesign)	Central driver
Includes	Process efficiency	Process + business models + customer experience + data-driven decisions

Key quote: "*The 'e' is temporary; it will all just be business.*" → Start from **business priorities**, not technology. Use a **process-based approach (not project-based)**, calculate **ROI**, measure with **KPIs**.

The 7 E's — a Strategic eTransformation Model (memorise the order)

Picture a circle: stage 7 (Change Management) sits in the middle linking all others.

1. Environmental Analysis — study Global IT/Business trends. Tools: **SWOT** (internal strengths/weaknesses + external opportunities/threats) and **Industry Analysis via Porter's 5 Forces**. *Output: understand the company's strategic situation.*

2. eBusiness Goals / Strategies — decide if the goal is **Survival, Sustainability, or Growth**. Then pick strategic position using **Porter's generic strategies: Cost Leadership · Cost Focus · Differentiation · Differentiation Focus**. Select the business strategies + eBusiness models.

3. eReadiness (Internal/External) — *is the company actually ready to transform?* (No other model checks this — it's the key contribution.)

- *Internal readiness*: Business processes, Applications & Infrastructure, Web presence, Skills of staff, Executive management commitment, External connectivity, Future directions.
- *External readiness*: readiness of Customers, Suppliers, Potential users.

4. eTransformation Roadmap — map the company's *current position* on the maturity ladder (Basic Website → ... → New Processes) and show the *path forward*. (Uses the UWS roadmap.)

5. eTransformation Methodology — the *iterative, evolutionary* process of actually doing it.

- *Internal*: Business Process Modeling → BPR → Change Management → Enhance Process with IT.
- *External*: Identify purpose & info requirements → Design & Develop → Online/Offline Promotion → Management & Maintenance.

6. eSystems — the technical foundation. Four areas: **ICT Infrastructure, Business Systems, IT Policies/Security, IT Maintenance/Support**. Apply **Management, Operational, and Technical controls** + security, contingency planning, disaster recovery.

7. Evolution — Change Management — runs *across all stages*, managing the people side using the **McKinsey 7S Model**.

★ McKinsey 7S Model (for Change Management — Stage 7)

Seven interlinked elements. **Shared Values sits in the centre**; the other six surround it. (Hard S's = Strategy, Structure, Systems; Soft S's = Style, Staff, Skills, Shared Values.)

S	Meaning
Strategy	Key actions/capabilities (marketing, product dev, sales, alliances) to reach goals
Structure	How units relate; chain of command; formal/informal communication channels
Systems	Information flow; IT + processes, procedures, controls
Style	Behaviour of key managers; how they relate to employees
Staff	People employed — positions, levels, numbers
Skills	Skills & aptitude of staff; needs a learning environment
Shared Values	Guiding concepts/values (often unwritten) aligning everyone

✍ WORKED EXAMPLE — Annex C "Chocos" (7 E's)

Chocos = market-leading SL chocolate maker, losing share to foreign brands (52% now, was 70%). Saturated market. Has only a basic B2C brochure website; no online ordering/supplier/customer management.

How to answer with the 7 E's:

1. **Environmental Analysis** — SWOT (Strength: state-of-art machinery, 100% local cocoa, strong R&D, 50+ distributors; Weakness: unfocused marketing, basic website only; Opportunity: global online market; Threat: foreign competition, saturated market). Porter's 5 Forces: high rivalry, high threat of substitutes/new foreign entrants.
2. **Goals/Strategies** — status = *Sustainability* (leader but slipping) → strategy = **Differentiation** + a **Digital Value Hub / Supply Chain model** to unite local suppliers against foreign competition.
3. **eReadiness** — check infrastructure, staff IT skills, exec commitment; assess if 50 distributors & suppliers are ready to go online.

4. **Roadmap** — currently at "Basic Website" stage → move toward Interactive → eCommerce → Convergence.
5. **Methodology** — model & re-engineer ordering/supplier/customer processes; add online ordering, supplier & customer management.
6. **eSystems** — build ICT infrastructure, security, back-end systems supporting the new website.
7. **Change Management (7S)** — retrain staff (Skills), adjust Structure & Systems, align Shared Values around going digital.

TOPIC 8 — e-Supply Chain Management (eSCM)

SCM = planning, organising, implementing, controlling supply-chain operations efficiently — coordinating everything from suppliers to final customers. Optimises three flows: **Information Flow, Product Flow, Cash Flow**.

- **Upstream** activities = buy-side e-commerce (suppliers).
- **Downstream** activities = sell-side e-commerce (customers).

Historic evolution — 6 eras

Creation (term coined by **Keith Oliver, 1982**) → Integration (EDI 1960s, ERP 1990s) → Globalization (cross-border) → Specialization Phase I (focus on core competencies, outsource the rest, OEMs become brand owners) → Specialization Phase II (tech hosting: ASP → on-demand → **SaaS**) → **SCM 2.0** (Web-2.0-style collaboration platforms).

Historical management practices (with acronyms)

- **1960s/70s — PDM** (Physical Distribution Management): paper-based; EDI point-to-point; finished goods only.
- **1970s/80s — Logistics** (MRP + **JIT**): Just-In-Time minimises inventory/waste; lean production.
- **1980s/90s — SCM & ECR** (Efficient Consumer Response): tight supplier-customer integration; SAP ERP; global sourcing.
- **1990s/2000s — TIM** (Technological Interface Management): ERP + EDI/**XML**; "*information becomes more valuable than inventory*."

★ Push vs Pull models (very likely short-answer)

	Push	Pull
Based on	Forecast of <i>future</i> demand	<i>Actual</i> customer demand
Goal	Optimise cost & efficiency	Enhance product/service quality
Driven by	Manufacturer	Market research
Cycle/response time	Long	Short
Inventory level	High	Low
Technology / EDI	Limited	Extensive (B2B exchanges)

Memory hook: **Push** = "make then sell" (forecast, stockpile). **Pull** = "sell then make" (order-driven, lean).

SCM functionalities: Purchasing · Operations (demand forecasting) · Logistics (warehousing/transport) · Resource Management · Information Workflow. **SCM software:** SAP SCM, Infor SCM, Blue Yonder, NetSuite SCM, Shippabo, Magaya, Logiwa WMS.

Case Study — eBay (founded 1995)

- **Value proposition — Buyers:** Trust, Value, Selection, Convenience. **Sellers:** access to global market, efficient marketing/distribution, increased sales.
- **Detailed Seller Ratings** (4 criteria): item as described · communication · delivery time · postage & packaging. Purpose: raise conversion by improving the shopping experience.
- **Main risk = Fraud** → countered by "**Trust & Safety Programs**," feedback forum, top-seller status.

Daraz — Fulfillment by Daraz (FBD)

Daraz handles processing, packing, shipping, storage, and returns for the seller. Steps: seller sends stock to Daraz → Daraz stores → customer orders → Daraz packs/handles → Daraz delivers → Daraz manages returns. *Benefits:* faster fulfilment → higher satisfaction & conversion; saves seller warehouse/staff cost; easy to scale (unlimited Order Volume Limit).

TOPIC 9 — e-Customer Relationship Management (eCRM)

CRM (term from mid-1990s) = "*an approach to building and sustaining long-term business with customers.*" Grew out of **Sales Force Automation (SFA)**.

★ Customer Lifecycle — 4 stages (learn in order)

1. **Selection** — decide *which* customer segments to target.
2. **Acquisition** — win *new* customers; minimise acquisition cost; focus on high-value ones.
3. **Retention** — *keep* existing customers with personalised offers.
4. **Extension** — get customers to *buy more* ("customer development").

Extension techniques (know the difference):

- **Re-sell** — sell the *same* product again (re-buys, esp. B2B).
- **Cross-sell** — sell a *related* product ("customers also bought...").
- **Up-sell** — sell a *more expensive* version (a subset of cross-sell).
- **Reactivation** — win back lapsed customers.
- **Referrals** — get existing customers to bring in new ones.

Marketing applications of CRM: SFA · Customer Service Management · Managing the Sales Process · Campaign Management · Analysis (data warehouse + data mining).

eCRM and Social CRM

eCRM = using digital communication tech to maximise sales to *existing* customers and keep them using online services. Includes: lead→conversion via web/email, profile & email-list management, multichannel contact (mobile/email/social), data mining, personalization ("next-best product"), online service (FAQ/chat), managing service quality.

Social CRM = managing customer-to-customer conversations to engage customers with the brand; integrates CRM with Facebook/Twitter/LinkedIn.

- *Scope:* Marketing, Sales, Service/Support, Innovation, Collaboration, Customer Experience.
- **5Ms framework:** Monitoring · Mapping · Management · Middleware · Measurement.

eCRM benefits: cost-effective targeting (self-selecting lists), mass-customised messages, deeper/broader relationships, a "learning relationship," lower cost. **New tech in CRM:** AI/ML (NLP, predict behaviour, sentiment

analysis, predictive lead scoring), Chatbots (instant FAQ answers), VR/AR (virtual tours, showrooms, fitting rooms).

★ Search Marketing — 2 techniques

1. Paid search ("paid listings" / "sponsored links") — pay-per-click (**PPC**). You're only charged when the ad is clicked. Ranking = **highest bid CPC × Quality Score** (clickthrough rate matters, so the top bidder doesn't automatically win). Tool: **Google Ads** (formerly AdWords). Formats: text, responsive, image, app, video, shopping, call-only.

2. Organic search — improve natural ranking via **SEO (Search Engine Optimization)**.

SEO ranking factors (explain each):

- **Keyword Density** — how often the key phrase appears; but **keyword stuffing** is penalised. Boost relevance by putting keywords in headings (`<h1>`), anchor text, and the start of the page.
- **Inbound links (backlinks)** — more links from quality sites = higher rank. Google's **PageRank** treats each link as a *vote*, weighted by the linking page's own authority.
- **Title HTML tag** (`<title>`) — a keyphrase in the title ranks higher and shows as the clickable link in results; put important keywords to the left.
- **Meta-tags** — keywords + description meta tags. (Google now *ignores* the keywords meta tag; the **description** meta tag still shows in results and drives clicks.)
- **Alternative graphic text (ALT tag)** — text for images; helps indexing + accessibility (screen readers).

Google Analytics = web analytics platform. Insights: Website Traffic, Audience Demographics, User Behaviour, Conversion Tracking, E-commerce Analytics, Mobile Analytics. Setup: create GA4 property → add a Web data stream → paste the Google Tag (gtag.js) right after `<head>`.

Google Business Profile (formerly Google My Business) = free tool controlling how a business appears on Google Search & Maps. Benefits: visibility, accurate info, authenticity/trust, better SEO, respond to reviews, customer insights.

TOPIC 10 — Entrepreneurial Opportunities in eBusiness

Fiverr — marketplace for digital services

Sellers post "**Gigs**" (with Gig Packages; minimum price \$5). Categories: Graphics & Design, Music & Audio, Programming & Tech, Digital Marketing, Business, Writing & Translation, Data, Video & Animation, Lifestyle, Photography.

- **Fees:** Fiverr takes **20% from freelancers**; charges clients a **5.5%** service fee (+ \$2 small-order fee under \$50). Acts as an **escrow** service (holds payment safely).
- *Freelancer advantages:* global exposure, flexibility, portfolio building, secure payment, ratings.
Disadvantages: high competition, low pricing pressure, oversaturation, the 20% fee, platform dependence.

Google AdSense vs AdMob

- **AdSense** — website owners earn from ads on their **websites** (display/text/video). Publisher gets **68%** of revenue.
- **AdMob** — app developers earn from ads in **mobile apps** (banner/interstitial/reward). Developer gets **60%** of revenue.
- *Disadvantages:* revenue volatility, account suspension (strict policies), limited ad control, ad-blocking/fatigue, UX impact, invalid-click fraud.

Dropshipping — selling without inventory

Customer orders from your store → you forward the order + customer details to the supplier → **supplier ships directly** to the customer. You never hold stock.

- *Advantages:* low startup cost, low risk, flexibility/scalability, wide product range, time-efficient (supplier handles fulfilment).
- *Disadvantages:* lower margins (no bulk discount), no quality control, supplier dependency, limited branding, harder customer service, long shipping times.
- *Process:* create store (Shopify/WooCommerce/eBay) → research products (AliExpress) → list → receive order → buy from supplier with customer's address → supplier ships → **profit = customer price – supplier price**.

Affiliate Marketing

Performance-based: an **affiliate promotes a merchant's product via a unique referral link** and earns a **commission** per sale/lead/action. (*Example: a tech blogger links to a phone on Amazon; buyers via that link earn the blogger a commission.*)

- Programs: **Amazon Associates, eBay Partner Network, AliExpress Affiliate.**
- *Advantages:* passive income, targeted (choose products fitting your niche), flexible/scalable. *Disadvantages:* commission-only (no sale = no pay), merchant dependency, market saturation, payment delays.

Cryptocurrency

Digital currency secured by **cryptography**, running on a decentralized **blockchain** (no central bank). Coins: Bitcoin (BTC), Ethereum (ETH), Tether (USDT), BNB, USD Coin (USDC).

- **Ways to earn:**
 - **Mining** — validate transactions by solving puzzles (Proof-of-Work); earns new coins but needs costly hardware + energy → mining pools/farms.
 - **Trading** — buy/sell on exchanges to profit from price swings (manual or bots).
 - **Investing** — buy and hold long-term for growth.
 - **Staking** — hold & "stake" coins under Proof-of-Stake to help validate; earn rewards (no heavy mining hardware).
- **Exchanges:** Binance, Coinbase, Kraken, Bybit, Crypto.com.

ONE-PAGE RAPID REVISION (read last, right before exam)

The chain: Forces → SWOT → Strategies → eBusiness Models → 7 E's (with 7S for people).

- **Porter's 5 Forces:** Suppliers · Buyers · New Entrants · Substitutes · Rivalry.
- **Beat supplier power** → Backward Integration / SCM / ePortal / buying groups.
- **Beat buyer power** → Forward Integration / CRM / D2C / loyalty.
- **Beat new entrants** → barriers to entry / patents / brand / alliances.
- **Beat substitutes** → differentiation / diversification / branding.
- **Beat rivalry** → niche focus / differentiation / alliances / loyalty.
- **6 eBusiness Models:** D2C · Supply Chain · Full-Service Provider · Revenue Sharing · Digital Value Hub · Global Trade Platform.
- **Revenue Sharing (ePortal)** → beats supplier power (bulk orders). **Digital Value Hub (eRegion)** → beats rivalry & foreign entrants (unite locally).

- **7 E's:** Environmental Analysis · eBusiness Goals/Strategies · eReadiness · Roadmap · Methodology · eSystems · Evolution (Change Mgmt).
- **7S:** Strategy · Structure · Systems · Style · Staff · Skills · Shared Values.
- **Porter's generic strategies:** Cost Leadership · Cost Focus · Differentiation · Differentiation Focus.
- **Goal states:** Survival · Sustainability · Growth.
- **4 Disruptions:** Customer · Product · Price · Intelligent Agents.
- **Customer lifecycle:** Selection · Acquisition · Retention · Extension.
- **Cialdini 6:** Reciprocity · Commitment/Consistency · Social Proof · Authority · Liking · Scarcity.
- **Push vs Pull:** Push = forecast/high-inventory/cost; Pull = demand/low-inventory/quality.
- **SEO factors:** Keyword density · Backlinks (PageRank) · Title tag · Meta-tags · ALT text.
- **IT shifts:** Atoms→Bits · Place→Space · Brick→Click · Real→Virtual.

The 5-step method for ANY case-study question

1. **SWOT** — Strengths & Weaknesses (internal), Opportunities & Threats (external).
2. **Porter's 5 Forces** — rate each force high/low for this company.
3. **Business strategies** — pick strategies to reduce the strong forces (mapping table).
4. **eBusiness models** — choose the model(s) that implement those strategies.
5. **If transformation is asked** — walk through the **7 E's** in order, using **7S** for change management.

Always tie every point back to the specific company in the scenario. That's where the marks are.

Good luck — you've got this! 🎓